

UPSC GS-II POLITY

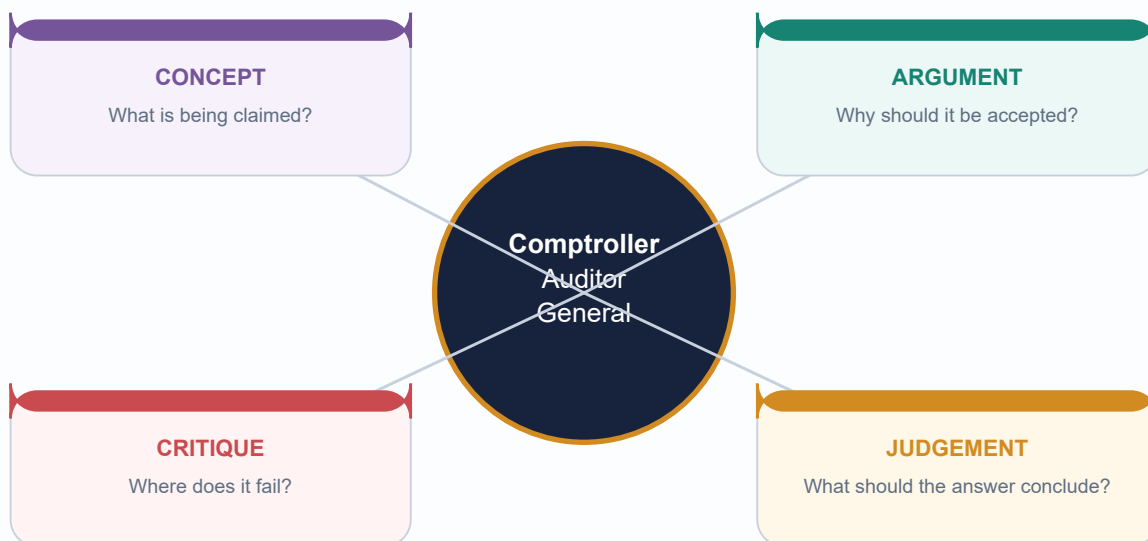
Comptroller & Auditor General (CAG) Articles 148–151

Indian Polity • GS Paper II • Prelims + Mains

Integrated Basic + Advanced Course

12 deep-learning modules | Constitutional Basis to Answer-Writing

Prepared from the verified Polity knowledge base (basic/CAG.md + advanced/32_CAG.md)



Facts from official sources | Inferences clearly marked | No fabricated data

HIGH UPSC RELEVANCE

HIGH

1. Constitutional Basis & Identity

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NEWS TRIGGER

Debates on decolonising accountability institutions renew interest in why the Constitution gave audit of public money to a single independent officer.

INTRO & ORIGIN

Article 148 provides for an independent CAG, head of the Indian Audit & Accounts Department and the “guardian of the public purse.” Dr. Ambedkar called the CAG “the most important officer under the Constitution.”

The CAG is placed among the bulwarks of Indian democracy, alongside the Supreme Court, the Election Commission and the UPSC.

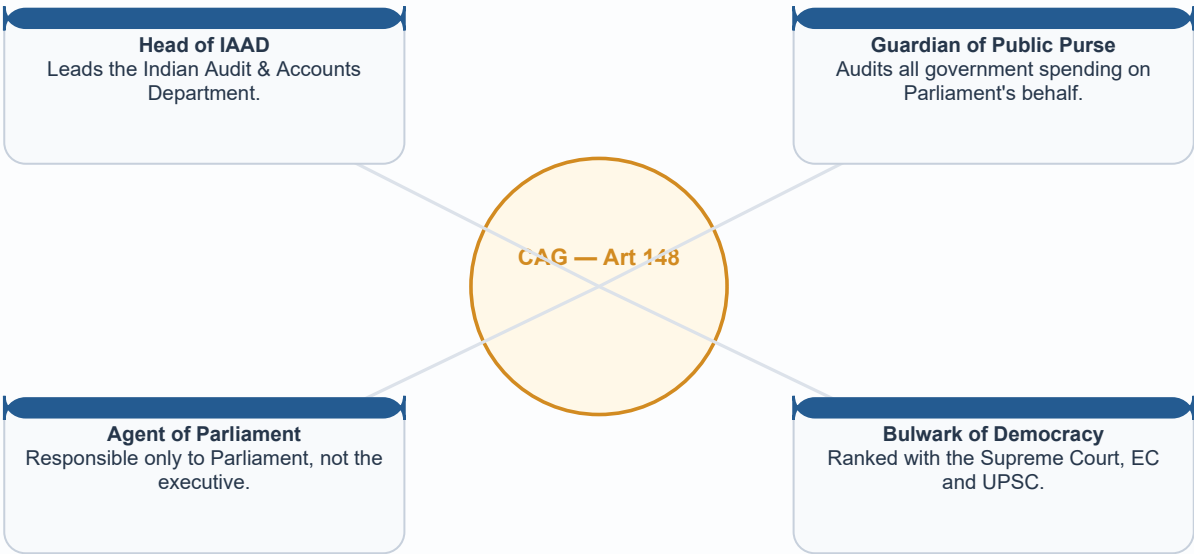
TIMELINE

1950 — Constitution commences; Articles 148–151 establish the CAG.

1971 — CAG’s (Duties, Powers and Conditions of Service) Act enacted.

1976 — 1971 Act amended — accounts function separated from audit function.

WHAT ARTICLE 148 CREATES



KEY DATA

Item	Fact
Articles	148–151 (+ 279 net proceeds)
Appointed by	President
Term	6 years or 65 years, whichever earlier
Removal	Like a Supreme Court judge
Governing law	CAG's (DPC) Act, 1971

STATIC THEORY

- The CAG is an independent constitutional authority created directly by Art 148, not by statute.
- “Guardian of the public purse” captures the audit function; “agent of Parliament” captures the accountability function — the two are linked but distinct.
- Placing the CAG alongside the Supreme Court, Election Commission and UPSC signals that financial accountability is treated as a pillar of constitutional democracy, not a routine administrative task.

MEMORY HOOK

Art 148 = Office | Art 149–150 = Duties/Form of Accounts | Art 151 = Reporting | 1971 = DPC Act

MUST-KNOW FACTS

1. Articles 148–151 (plus Art 279 on net proceeds) govern the CAG.
2. The CAG's (Duties, Powers and Conditions of Service) Act was passed in 1971.
3. The 1971 Act was amended in 1976 to separate accounts-keeping from audit.
4. Ambedkar described the CAG as the most important officer under the Constitution.

MAINS ANGLE

Use the CAG's constitutional placement (Art 148) alongside the SC, EC and UPSC to argue that financial accountability was designed as a structural safeguard, not an administrative afterthought.

STUDY LINK

Polity → CAG → Constitutional Basis (Art 148)

HIGH

2. Appointment, Tenure & Removal

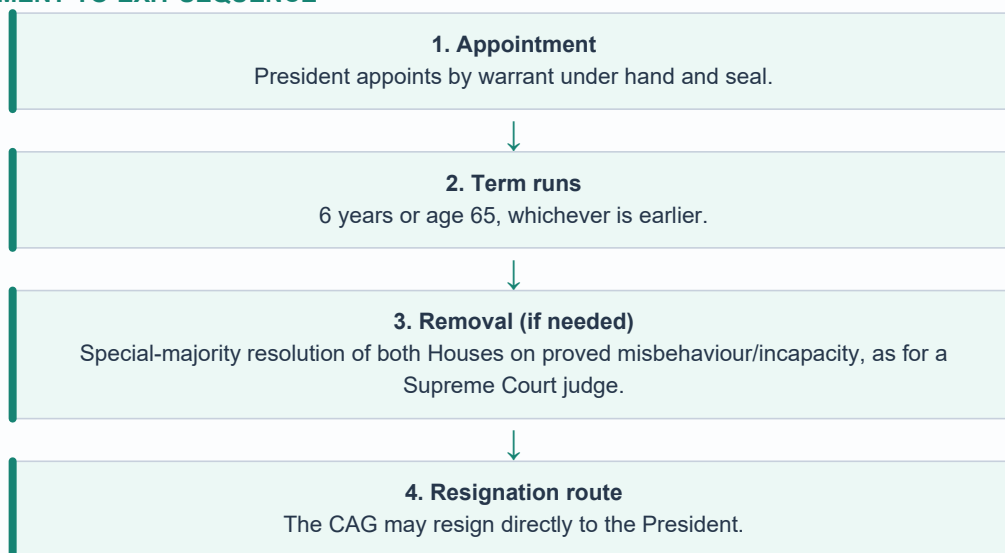
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INTRO & ORIGIN

The President appoints the CAG by warrant under hand and seal. The term is 6 years or until age 65, whichever is earlier, and removal follows the same special procedure as a Supreme Court judge — not the President's pleasure.

KEY DATA

Point	Detail
Appointed by	President (warrant under hand & seal)
Term	6 years or 65 years, whichever earlier
Removal	Same manner as a Supreme Court judge — not at the President's pleasure
Resignation	Addressed to the President

APPOINTMENT-TO-EXIT SEQUENCE**STATIC THEORY**

- Removal “like a Supreme Court judge” means a special-majority resolution of both Houses on grounds of proved misbehaviour or incapacity — a deliberately high bar.
- This removal procedure, not the President’s pleasure, is what actually secures the CAG’s tenure.

MEMORY HOOK

6 or 65, whichever earlier | Removed like a SC judge, not at pleasure

MUST-KNOW FACTS

1. The CAG’s term is 6 years or 65 years of age, whichever comes first.
2. Removal requires the same special procedure as a Supreme Court judge.
3. Resignation is tendered directly to the President.

UPSC TRAPS

WRONG: The CAG’s term is fixed at 6 years only.

CORRECT: It is 6 years or 65 years, whichever is earlier.

WRONG: The CAG is removed by the President at pleasure.

CORRECT: The CAG is removed only through the Supreme Court judge procedure (special-majority resolution on proved misbehaviour/incapacity).

MAINS ANGLE

Distinguish the CAG’s security-of-tenure removal procedure from a pleasure-doctrine office to show why the office is treated as quasi-judicially independent.

STUDY LINK

Polity → CAG → Appointment & Removal

HIGH**3. Independence Safeguards**

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INTRO & ORIGIN

Beyond the removal procedure, the Constitution builds in several structural safeguards so that the CAG can audit government spending without fear of executive pressure.

PILLARS OF CAG INDEPENDENCE

CAG Independence

Security of Tenure Removable only by the constitutional procedure, not at will.	No Further Office Not eligible for any further office under the Centre or a State after retirement — stricter than UPSC.
Protected Salary Equal to a Supreme Court judge; fixed by Parliament and cannot be varied to disadvantage.	Charged Expenditure Salaries/expenses of the CAG's office are charged on the Consolidated Fund of India (non-votable).

STATIC THEORY

- No minister can represent the CAG in Parliament or take responsibility for the CAG's actions — reinforcing that the CAG answers to Parliament directly, not through the executive.
- The post-retirement bar on further office is stricter than the analogous rule for the UPSC chairman/members, underlining how seriously the framers treated audit independence.

MEMORY HOOK

No further office + SC-judge salary on CFI + no minister answers for the CAG = independence

MUST-KNOW FACTS

1. The CAG is not eligible for any further government office after the term ends.
2. Salary equals that of a Supreme Court judge and cannot be reduced to the CAG's disadvantage.
3. Expenses of the CAG's office are charged on the Consolidated Fund of India, so they are non-votable.

UPSC TRAPS

WRONG: The CAG can take another government job after retirement.

CORRECT: The CAG is barred from any further office under the Centre or a State after the term.

MAINS ANGLE

Independence of the CAG rests on tenure security, financial protection and the absence of ministerial cover — use all three, not just removal procedure, when answering 'independence of the CAG' questions.

STUDY LINK

Polity → CAG → Independence Safeguards

HIGH

4. Duties & Powers I — What the CAG Audits

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INTRO & ORIGIN

The CAG's (DPC) Act, 1971 (amended 1976, separating accounts from audit) defines the scope of what the CAG audits, and Articles 150–151 fix how accounts are formed and how reports reach the legislature.

KEY DATA

Fund / Account	Coverage
Consolidated Fund	Of the Union, the States, and UTs with a legislature
Contingency Fund & Public Account	Of the Union and the States
Departmental accounts	Trading, manufacturing, profit & loss and balance-sheet accounts
Receipts & expenditure	Bodies substantially financed from government revenue
Government companies	And other corporations, as provided by law

STATIC THEORY

- Article 150: the CAG advises the President on the form in which the accounts of the Union and the States shall be kept.
- Article 151: audit reports on Union accounts go from CAG → President → Parliament; on a State's accounts, from CAG → Governor → State Legislature.
- Article 279: the CAG ascertains and certifies the net proceeds of any tax, and that certificate is final.

MEMORY HOOK

Union report: CAG → President → Parliament | State report: CAG → Governor → State Legislature

MUST-KNOW FACTS

1. The CAG audits the Consolidated Fund, Contingency Fund and Public Account of the Union and States.
2. The CAG advises the President on the form of government accounts under Art 150.
3. The CAG's certificate on the net proceeds of a tax (Art 279) is final.

UPSC TRAPS

WRONG: The CAG audits State accounts and reports them directly to Parliament.
CORRECT: State audit reports go to the Governor, who places them before the State Legislature.

MAINS ANGLE

When asked about CAG reporting, always separate the Union channel (President → Parliament) from the State channel (Governor → State Legislature) — examiners frequently test this distinction.

STUDY LINK

Polity → CAG → Duties & Powers (Art 149–151)

HIGH

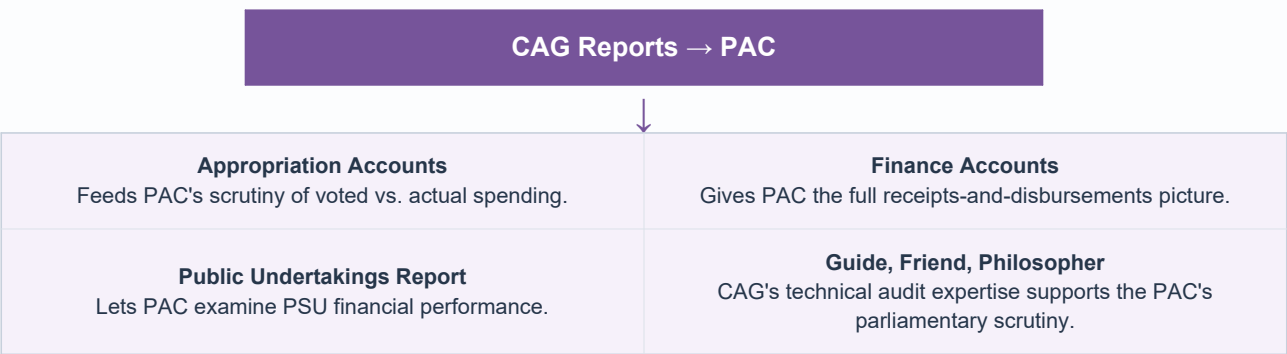
5. Duties & Powers II — Three Audit Reports & the PAC

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INTRO & ORIGIN

The CAG submits three distinct audit reports to the President, and is described as the “guide, friend and philosopher” of the Public Accounts Committee (PAC), which examines those reports on Parliament's behalf.

CAG – PAC RELATIONSHIP



KEY DATA

Report	What It Shows
Appropriation Accounts	Actual expenditure compared with sanctioned (voted/charged) expenditure
Finance Accounts	Annual receipts and disbursements of government
Public Undertakings	Accounts and performance of government companies/corporations

STATIC THEORY

- The three reports are complementary: Appropriation Accounts test legality of spending against sanction, Finance Accounts give the aggregate financial picture, and the Public Undertakings report extends audit into commercial government entities.
- The PAC uses these CAG reports as its primary raw material — without the CAG's audit, the PAC would have no independent basis for examining executive spending.

MEMORY HOOK

A-F-P: Appropriation → Finance → Public Undertakings, feeding the PAC

MUST-KNOW FACTS

1. The CAG submits three reports to the President: Appropriation Accounts, Finance Accounts and Public Undertakings.
2. The CAG is described as the guide, friend and philosopher of the Public Accounts Committee.

MAINS ANGLE

Link the three CAG reports directly to PAC functioning to show the audit-to-legislative-scrutiny chain in a financial accountability answer.

STUDY LINK

Polity → CAG → Audit Reports & PAC

HIGH**6. Role & Audit Types — “Comptroller in Name Only”**

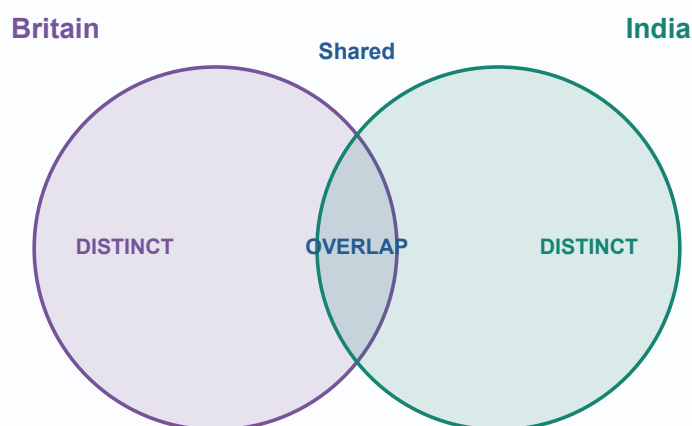
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NEWS TRIGGER

Comparisons with the UK's audit model resurface whenever reformers propose giving the Indian CAG a greater role before money is spent, not only after.

INTRO & ORIGIN

The CAG is an agent of Parliament responsible only to Parliament. Legal/regulatory audit (was money legally available and properly spent?) is obligatory; propriety audit (wisdom, faithfulness, economy) is discretionary.

INDIA'S CAG VS BRITAIN'S COMPTROLLER AND AUDITOR GENERAL**Britain**

- Controls the issue of money from the public purse
- True 'Comptroller' role

Shared

- Audits public expenditure
- Reports to the legislature

India

- No control over issue of money from the Consolidated Fund
- Audits only after expenditure — an Auditor-General role

India's CAG is 'Comptroller' in name only — the real comptrolling power over release of funds does not rest with the office.

STATIC THEORY

- Legal/regulatory audit checks whether expenditure was legally sanctioned and properly spent — it is obligatory.
- Propriety audit questions the wisdom, faithfulness and economy of expenditure (wastefulness, extravagance) — it is discretionary, not mandatory.
- ☐ Secret service expenditure is a limitation on audit: the CAG accepts a certificate from the competent authority rather than examining the particulars.
- ☐ Appleby's criticism argued for abolishing the CAG's office, calling auditing "repressive/negative" and a colonial inheritance.

MEMORY HOOK

Legal/regulatory audit = compulsory | Propriety audit = discretionary | India = Auditor-General, not true Comptroller

MUST-KNOW FACTS

1. Unlike Britain, India's CAG has no control over the issue of money from the Consolidated Fund.
2. Legal/regulatory audit is obligatory; propriety audit is discretionary.
3. Secret service expenditure audit is limited to accepting a certificate, not particulars.

UPSC TRAPS

WRONG: The CAG both controls and audits the Consolidated Fund.

CORRECT: In practice the CAG is only an Auditor-General in India — no comptrolling power over the issue of money, unlike Britain.

WRONG: Propriety audit is compulsory for the CAG.

CORRECT: Only legal/regulatory audit is obligatory; propriety audit is discretionary.

MAINS ANGLE

'The CAG is a Comptroller only in name.' Examine this by contrasting India's post-expenditure Auditor-General role with Britain's control over the issue of money.

STUDY LINK

Polity → CAG → Audit Types & Comparative Role

HIGH

7. CAG & Public Sector Undertakings — Three Categories

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INTRO & ORIGIN

Not every public-sector entity is audited the same way. The CAG's engagement with government companies and corporations falls into three distinct categories.

KEY DATA

Category	Audit Arrangement	Example
Fully audited by CAG	Complete CAG audit	ONGC, Air India, DVC
Private auditors + CAG supplement	Private audit with CAG's supplementary audit	IFCI
Exclusively private audit	CAG not involved at all	RBI, LIC, SBI, FCI

STATIC THEORY

- The three-category structure reflects varying degrees of government ownership and statutory design — full CAG audit for the most directly state-owned entities.
- Entities in the third category (RBI, LIC, SBI, FCI) are exclusively privately audited, which is one of the most commonly tested exceptions in this topic.

MEMORY HOOK

Full = ONGC/Air India/DVC | Supplement = IFCI | Private-only = RBI, LIC, SBI, FCI

MUST-KNOW FACTS

1. ONGC, Air India and DVC are fully audited by the CAG.
2. IFCI is audited by private auditors with the CAG's supplementary audit.
3. RBI, LIC, SBI and FCI are exclusively privately audited — the CAG is not involved.

UPSC TRAPS

WRONG: The CAG audits RBI, LIC and SBI as part of standard PSU audit.

CORRECT: These are exclusively privately audited — the CAG has no role in auditing them.

MAINS ANGLE

When a question tests exceptions to CAG jurisdiction, cite the RBI/LIC/SBI/FCI exclusively-private-audit category rather than treating CAG audit as universal.

STUDY LINK

Polity → CAG → Public Corporations Audit

HIGH**8. Limitations & Criticism**GS-II Indian
Polity**INTRO & ORIGIN**

The CAG's audit powers are not unlimited, and the office itself has attracted academic criticism over how audit is conceived and conducted.

STATIC THEORY

- These two points are frequently tested together: one is a structural limitation written into practice (secret service expenditure), the other is an academic critique of the audit philosophy itself (Appleby).

MEMORY HOOK

Secret service spend = certificate only, not particulars | Appleby = wanted CAG abolished

MUST-KNOW FACTS

1. For secret service expenditure, the CAG accepts a certificate rather than examining details.
2. Appleby criticised CAG-style auditing as repressive/negative and a colonial inheritance.

LIMITATION / CRITICISM → WHY IT MATTERS

Concept	Linked Idea	Why It Matters
Secret service expenditure	National-security spending	CAG accepts a certificate from the competent authority instead of examining particulars — a genuine audit gap.
Appleby's criticism	Colonial-era audit inheritance	□ Argued audit is “repressive/negative” and favoured abolishing the CAG's office — a critique, not an enacted reform.

MAINS ANGLE

Use the secret-service-expenditure limitation to show that even the CAG's audit jurisdiction is not absolute, and use Appleby's critique (marked as inference/case law, not enacted reform) to add an analytical dimension to answers on audit reform.

STUDY LINK

Polity → CAG → Limitations & Criticism

HIGH

9. Current Affairs Anchors & Reform Debates

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NEWS TRIGGER

PPP structures, off-budget borrowing and PM-CARES-type funds have widened the space where public money moves outside traditional audit jurisdiction, reviving CAG-reform debates.

KEY DATA

Reform / CA Hook	Core Issue
PPP projects, off-budget borrowings, PM-CARES	Debate on extending CAG audit jurisdiction to cover these funding routes
Performance audits	CAG performance audits (e.g., health schemes, highway-project costing) triggering accountability
Collegium-style appointment	Demand to move CAG appointment beyond sole executive discretion, to strengthen independence

STATIC THEORY

- ☐ All three items are current-affairs-linked debates, not enacted constitutional changes — treat them as reform proposals/criticisms, not settled law.

MEMORY HOOK

PPP/off-budget/PM-CARES → audit-jurisdiction gap | Performance audit → accountability | Collegium demand → independence

MUST-KNOW FACTS

1. There is an active debate on bringing PPP projects, off-budget borrowings and funds like PM-CARES under CAG audit.
2. CAG performance audits of schemes such as health programmes and highway-project costing have triggered accountability debates.

MAINS ANGLE

Anchor any 'CAG independence/reform' answer in the collegium-appointment demand and the audit-jurisdiction gaps around PPPs and off-budget borrowing — both are live, exam-relevant debates.

STUDY LINK

Polity → CAG → Current Affairs & Reform

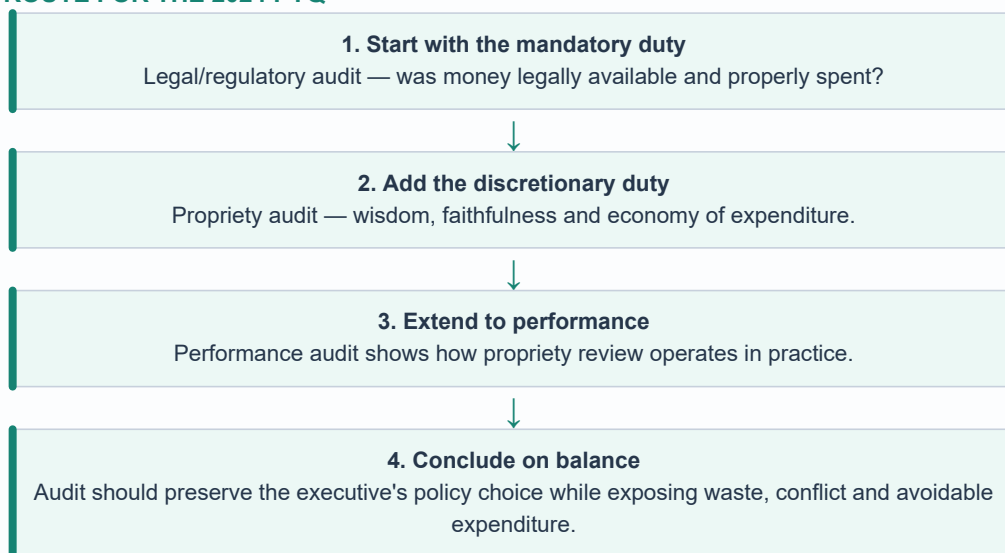
HIGH

10. Mains Framework — Verified PYQ (2024 GS-II)

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INTRO & ORIGIN

2024 GS-II Q4 (10 marks, 150 words): "The duty of the Comptroller and Auditor General is not merely to ensure the legality of expenditure but also its propriety. Comment."

ANSWER ROUTE FOR THE 2024 PYQ**STATIC THEORY**

- This PYQ tests exactly the legal/regulatory-vs-propriety distinction from Module 6 — always pair the two audit types when the question uses the word ‘propriety.’

MEMORY HOOK

Legality → Propriety → Performance → Balance policy space with exposing waste

MUST-KNOW FACTS

1. The 2024 GS-II Q4 PYQ directly tested the legality-vs-propriety distinction in CAG audit.

MAINS ANGLE

Structure propriety-audit answers as: mandatory legal/regulatory audit → discretionary propriety audit → performance audit → preserve policy choice while exposing waste, conflict and avoidable expenditure.

STUDY LINK

Polity → CAG → 2024 GS-II Q4 (Verified PYQ)

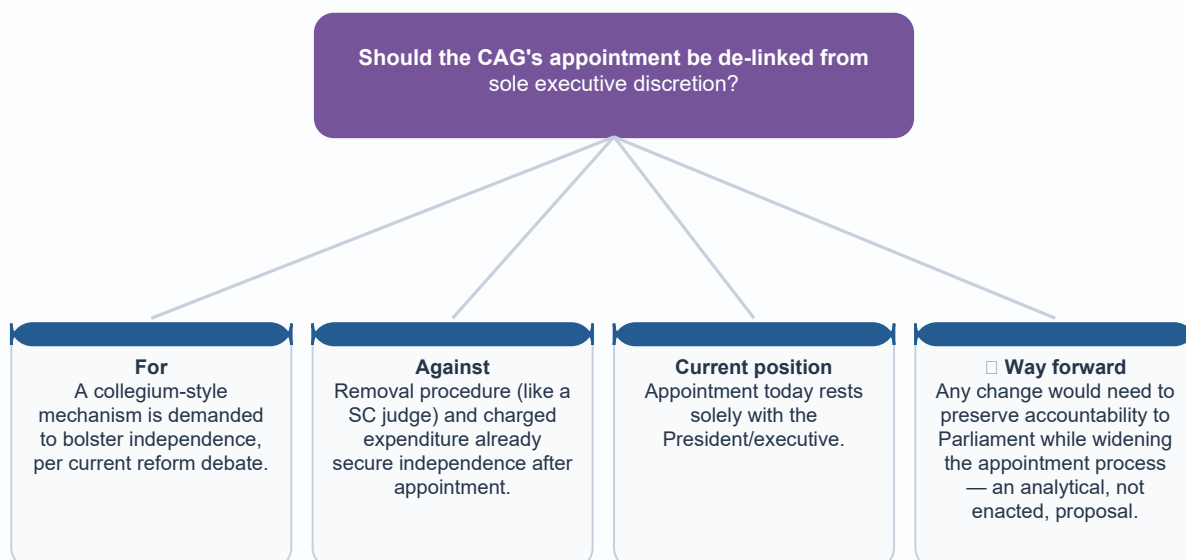
HIGH**11. Argument Tree — Should CAG Appointment Be De-linked from the Executive?**

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INTRO & ORIGIN

One of the Mains angles in the source material directly asks whether the CAG's appointment should be de-linked from the sole discretion of the executive.

SHOULD CAG APPOINTMENT MOVE TO A COLLEGIUM?



STATIC THEORY

- This is an analytical framework for a Mains answer, not a description of an enacted reform — keep the 'way forward' branch clearly marked as inference.

MEMORY HOOK

Appointment = sole executive discretion | Post-appointment independence ≠ appointment independence

MUST-KNOW FACTS

1. Today, the CAG's appointment is entirely at the discretion of the President/executive.

MAINS ANGLE

Use this argument tree directly to structure an opinion-based answer on CAG appointment reform, separating pre-appointment discretion from post-appointment tenure security.

STUDY LINK

Polity → CAG → Appointment Reform Debate

HIGH

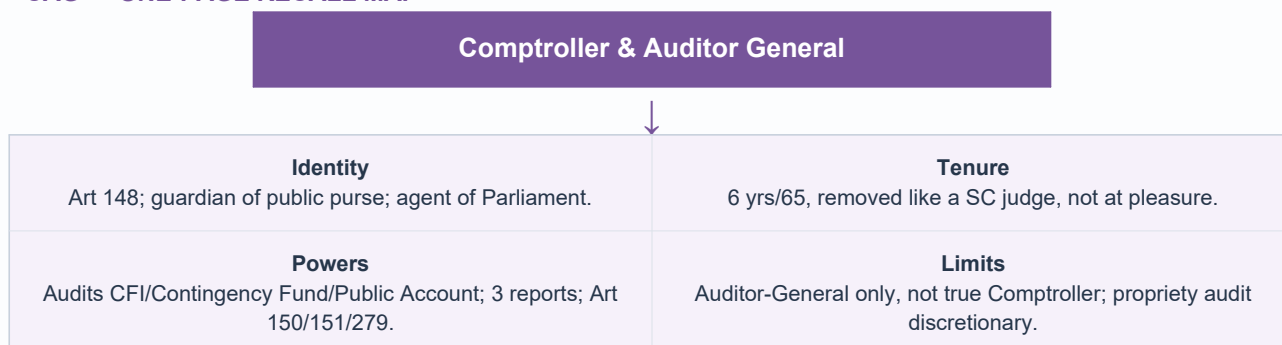
12. Integrated Recap & Memory Map

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INTRO & ORIGIN

A single consolidated map ties together identity, tenure, powers, audit types, PSU categories and current debates for last-minute revision.

CAG — ONE-PAGE RECALL MAP



STATIC THEORY

• Revision order: identity and constitutional basis → appointment and independence → duties and reports → audit types and PSU categories → limitations → current debates.

MEMORY HOOK

148 = Office | 149–150 = Duties/Accounts | 151 = Reporting | 279 = Net proceeds | 1971 = DPC Act

MUST-KNOW FACTS

1. Art 148 creates the office; Arts 149–151 and 279 define duties, form of accounts, reporting and net-proceeds certification.
2. The CAG's (DPC) Act, 1971 (amended 1976) is the governing statute.
3. Three reports — Appropriation Accounts, Finance Accounts, Public Undertakings — feed the PAC.
4. India's CAG is an Auditor-General in substance, not a true Comptroller as in Britain.

MAINS ANGLE

For any CAG question, anchor the answer in Art 148 identity, then move to whichever of tenure/duties/audit-type/limitation the question specifically tests.

STUDY LINK

Polity → CAG → Integrated Recap

End of Register Notes — UPSC Agent / Copilot CLI